the simpler explanation. In similar fashion, we should employ an ‘Occam’s razor of public policy’:

> *When two alternative tools yield the same outcome, we should prefer the one which uses the least coercion.*

There is wisdom in this approach as the use of force is always problematic. Government intervention interferes with personal freedom. Government interventions are always imperfect and have unintended consequences. If we can get something done using less coercion, that is always better.

How can we wield state power as a precision instrument, rather than as a blunt hammer? The way to find the lowest use of coercive force is to understand the source of the market failure, and go to the root cause.

Going up to the root cause generally yields a reduced use of the coercive power of the state. The two objectives—reduced use of coercive power and solving a problem at the root—are related.

Consider market failures associated with asymmetric information. The root cause of these market failures is certain gaps in information. Hence, addressing these market failures at the root cause requires interventions in the structure of information.

These are issues where economics has much to contribute. Practical men and women see a problem in society, and often come up with a simplistic attack which directly hits the *manifestation* of the problem. But we have to be careful in distinguishing between the symptom and the disease: we should not respond to bad road safety with more hospitals. Good economic analysis will often show us the upstream cause, and it is then better to address the upstream cause rather than the manifestation. [2]

Example 12: Subsidies

Too often in the Indian policy discourse, policymakers first reach for subsidies as the instrument of choice to address the consequences of market failure.